

The Directors of Home Afrika limited are pleased to announce the unaudited Group results for the 6 Months period ended 30th June 2018



(A). CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	6 months to 30 June	
	(Unaudited) 2018 Shs '000'	(Unaudited) 2017 Shs '000'
Revenue	106,718	92,474
Cost of sales	(69,776)	(75,274)
Gross profit/(loss)	36,942	17,200
Other operating income	3,925	7,638
Other operating expenses	(125,783)	(107,514)
Operating (loss)	(84,917)	(82,676)
Finance costs	(53,514)	(47,590)
(Loss) before tax	(138,431)	(130,266)
Tax charge	26,828	27,347
(Loss) for the period	(111,603)	(102,919)
Total comprehensive (loss) for the period	(111,603)	(102,919)
(Loss) per share		
– basic and diluted	(0.24)	(0.22)

(B). CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	(Unaudited) As at 30 June 2018 Shs '000'	(Audited) As at 30 Dec 2017 Shs '000'
Non-current assets	681,514	681,013
Current assets	3,687,809	3,796,815
Current liabilities	(4,836,651)	(4,822,553)
Net current (liabilities)	(1,148,842)	(1,025,737)
Net (liabilities)	(467,329)	(344,725)
REPRESENTED BY		
Share capital	405,255	405,255
Share premium	68,842	68,842
Accumulated deficit	(979,188)	(888,682)
Equity attributed to owners of the company	(505,090)	(414,585)
Non-controlling interest	1,885	22,983
Non-current liabilities	35,877	46,878
	(467,329)	(344,725)

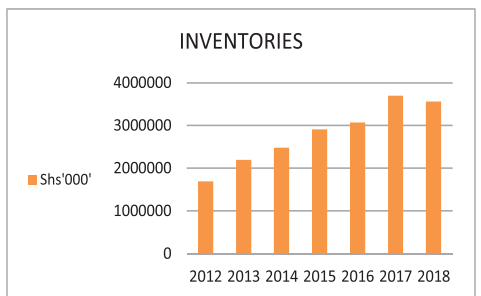
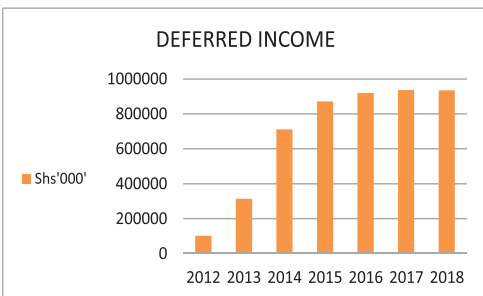
(C). CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR 6 MONTHS PERIOD ENDED 30 JUNE 2018

	Ordinary Share capital Shs '000'	Share premium Shs '000'	Retained earnings Shs '000'	Total Shs '000'	Minority interests Shs '000'	Total equity Shs '000'
For the period ended 30 June 2017						
At start of period	405,255	68,842	(708,896)	(234,798)	24,631	(210,167)
Total comprehensive (loss) for the period	–	–	(89,786)	(89,786)	(13,133)	(102,919)
At end of period	405,255	68,842	(798,682)	(324,584)	11,498	(313,086)
For the period ended 30 June 2018						
At start of period	405,255	68,842	(888,682)	(324,584)	11,498	(313,086)
Total comprehensive (loss) for the period	–	–	(90,505)	(90,505)	(21,098)	(111,603)
At end of period	405,255	68,842	(979,188)	(415,089)	(9,600)	(424,689)

(D). CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE 6 MONTHS PERIOD ENDED 30 JUNE 2018

	As at 30 June 2018 Shs '000'	As at 31 Dec 2017 Shs '000'
Cash generated from Operations	51,601	81,046
Interest Paid	(79,003)	(40,757)
Tax Paid	(3,312)	(6,755)
Net Cash used in Operating Activities	(30,713)	33,534
Net Cash flow from Investing Activities	(3,972)	(26,353)
Net Cash flow from Financing Activities	1,676	(48,232)
Net Cash Increase / (Decrease) in Cash and Cash equivalent	(8,050)	11,654
Cash and cash equivalents at the beginning of the period/year	19,640	7,986
Cash and Cash equivalents at the end of the period / Year	11,591	19,640

Explanatory notes: These results are extracted from the unaudited consolidated financial statements of Home Afrika Limited for the 6 months period ended 30th June 2018.



1. FINANCIAL HIGHLIGHTS

- The group reported a 13% increase in revenue in the six months period ending 30th June 2018 compared to 2017 from KSh 92 million to KSh 107 million. There was also decrease of cost of sales in the half year 2018 compared to 2017 from KSh 75 million to KSh 70 million thus an increase in the gross profits. The group operating expenses slightly went up, majorly occasioned by the fundraising roadshows and other professional fee, thus a slightly higher loss of Shs 111 million in half year 2018 compared to a loss of Shs 102 million in 2017, an 8% increase.
- The deferred income & deposits from sales of plots lingered at KSh 2.2 billion in the half year 2018 and 2017. In line with our accounting policy, these amounts are carried as current liabilities in the balance sheet but will convert to revenues in our profitability statement as we increase the investment in the projects and thereby increase the rate of percentage of completion. With the road works at our Migaa Golf Estate now continuing, we estimate to have completed this and other project infrastructure works by the end of 2019. This will effectively see a majority of the deferred revenue and deposits from sales of plots translate to revenue in the profitability statement.

2. STATUS OF FUNDRAISING:

- The process of fundraising has so far progressed very well. We are hopeful that this process will be successfully concluded shortly and the funding committed to by a strategic investor. The funding acquired will be used primarily to facilitate completion of projects and thereby help increase profitability and improve shareholder value.
- The group's board and management will continue streamlining costs and increase efficiency to improve profitability in order grow shareholder value. Management continues to spend significant amounts of time focusing on fund raising and on turning around the company in order to return to profitability within the shortest time possible. The directors remain confident of the substantial underlying medium to long term value of the group's land bank and therefore profit generation capacity in the periods ahead.

The directors do not recommend a dividend for the period ending 30th June 2018

BY ORDER OF THE BOARD

Madren Oluoch – Olunya
Company Secretary
30th August, 2018